

TKO's Up-C structure produces a quirk in the cash flow statement: each quarter, OpCo distributes cash pro-rata to its members to fund tax obligations. In FY26E we forecast ~\$475M of these distributions flow to Endeavor/Silver Lake as the 60.8% non-controlling interest holder. This drags reported levered FCF from \$1,586M to \$1,111M, depressing FCF/share by roughly \$2.46. Bears point to this and argue the Up-C is structurally disadvantageous to Class A holders. We disagree. The framing benchmarks the Up-C against an idealized "no-distribution" world that does not exist in any corporate structure. In a C-corp, the equivalent cash leaves as corporate tax to the IRS; in TKO's Up-C, it leaves as a pro-rata distribution to OpCo's members. The correct comparison is Up-C vs. C-corp, and on that basis the two structures deliver parity: at a matched tax rate, Class A holders receive ~100% of the per-share FCF they would have received in an equivalent C-corp. The distributions bears flag as "leakage" are simply the tax that any structure pays. The Up-C is neither an advantage nor a disadvantage to Class A holders; the bear thesis rests on a benchmarking error.

Context

When TKO was created in 2023 through the combination of UFC and WWE, the deal was structured in an unconventional manner. Endeavor and the legacy WWE shareholders adopted what tax lawyers call an "Up-C" structure, common among recent IPOs of partnership-owned businesses. Two features of the structure matter for what follows.

First, the entity that trades on the NYSE under the ticker TKO, TKO Group Holdings, Inc., is a holding company. It is a Delaware C-corporation. Its only meaningful asset is a 39% economic interest in a subsidiary, TKO Operating Company, LLC. Endeavor Group Holdings and its controlling shareholder Silver Lake hold the remaining 61% interest in the operating subsidiary, with matching Class B voting shares at the public company level. The actual business, UFC, WWE, and the IMG entities, sits inside the operating subsidiary (Exhibit 1). Second, the operating subsidiary is an LLC rather than a corporation, and is treated as a partnership for US federal income tax purposes. Partnerships do not pay entity-level income tax. Instead, taxable income is allocated to the partners pro-rata, and each partner pays tax on its allocated share at its own rate. TKO Group Holdings, the C-corp, pays corporate income tax on its 39% allocation. Endeavor and Silver Lake pay tax on their 61% at the individual member level. The operating company itself pays nothing.

These two features generate the cash flow statement quirk on which the cash flow confusion rests. Because Endeavor's marginal individual tax rate is higher than TKO Group Holdings' corporate rate, the LLC Agreement requires the operating subsidiary to distribute cash to all members each quarter at a rate sufficient to cover the highest-taxed member's bill. The distribution is pro-rata, so for every dollar that flows to Endeavor, roughly sixty-four cents flow back to the public company. But the dollar that flows to Endeavor leaves the consolidated entity and shows up on TKO's cash flow statement as a use of cash. In FY2026E we expect roughly \$475 million of such distributions, equivalent to approximately 30% of reported free cash flow. Importantly, the Up-C and C-corp structures are economically equivalent in theory: at a matched

tax rate, both deliver the same per-share economics to public shareholders. What follows tests whether TKO departs from that baseline in practice, and finds that it does not.

EXHIBIT 1: TKO Group Holdings is a holding company. Its only meaningful asset is its 39% economic interest in TKO OpCo. Endeavor and Silver Lake hold the other 61%. The actual business sits inside the LLC.

[ownership structure diagram]

Ownership percentages as of March 31, 2026, per Q1 2026 10-Q Source: Company reports, Bernstein analysis

Framing

Subtracting the \$475 million of distributions from reported free cash flow asks an implicit question: what would TKO's free cash flow look like if those distributions did not exist? The answer is mechanically correct but analytically meaningless, because there is no real-world corporate structure in which cash does not leave the entity to fund tax obligations. In every form a company can take, somebody pays taxes on the company's earnings, and the cash to fund that payment has to come from somewhere.

In a conventional C-corp, the cash leaves as corporate income tax to the Internal Revenue Service. In TKO's Up-C, the cash leaves as a pro-rata distribution to the LLC's members, who then use it to pay their own taxes. Different mechanism, same economic event: cash exits the consolidated entity to satisfy a tax obligation. The bear's free-cash-flow-after-distributions calculation effectively assumes the Up-C should pay no tax at all, which is not what any company is benchmarked against.

The correct benchmark is a C-corp version of TKO with the same operating cash flows and the same tax rate. Exhibit 4 traces what happens to \$1,000 of pre-tax operating income under each structure. The Up-C distributes more cash out of the consolidated entity than a C-corp would, \$368 versus \$120 per \$1,000 of pre-tax income, because the Up-C must fund tax distributions to all members while a C-corp only remits its own corporate tax. The bears stop there. But the cash that leaves to Endeavor was never PubCo's to claim. What matters is PubCo's economic claim on the cash that remains attributable to it, and at a matched tax rate that claim is \$344 in the Up-C versus \$345 for the equivalent C-corp shareholder. The two structures deliver the same answer.

This is the central point. Run at a matched rate, the Up-C is neither an advantage nor a disadvantage. The larger gross outflow is offset exactly by the fact that the outflow to Endeavor was Endeavor's economic share to begin with. The structures are equivalent, which is what

theory predicts. The bear thesis depends entirely on counting the outflow to Endeavor against Class A while ignoring that Class A never had a claim on it.

The distributions to Endeavor that the bears flag are Endeavor's own economic share of OpCo's cash, which the LLC Agreement requires the company to deliver pro-rata so Endeavor can pay its individual tax bill. The dollars were never PubCo's to claim. Treating them as a deduction from Class A free cash flow is double-counting: it removes from Class A both the tax dollars that PubCo never had to pay and the cash dollars that Endeavor was always entitled to.

EXHIBIT 4: At a matched tax rate, the Up-C distributes more cash out of the consolidated entity (\$368 vs. \$120 per \$1,000 of pre-tax income), but PubCo's economic claim on the cash that remains is essentially identical to a C-corp shareholder's (\$344 vs. \$345). The structures are equivalent.

Three calculations frame the entire debate. Run against Bernstein's operating forecast, the bear's framing produces \$5.77 of free cash flow per share for Class A holders in FY2026E. PubCo's actual economic claim produces \$8.25. A hypothetical C-corp with identical operating cash flows and a matched tax rate produces \$8.23. The Up-C and the C-corp deliver effectively the same per-share economics to Class A holders. The gap between the bear's \$5.77 and the true figure is not a feature of the Up-C structure; it is an artifact of how the bear calculation is constructed.

The bear calculation. The bear begins with Bernstein's reported free cash flow of \$1,586 million for FY2026E, deducts the \$475 million of distributions paid to Endeavor as the non-controlling interest holder, and divides the \$1,111 million remainder by 193 million diluted shares. The result is \$5.77 per share (Exhibit 8). The arithmetic is correct. The problem is what it represents. The calculation divides consolidated free cash flow, which reflects both PubCo's and Endeavor's economic interests in OpCo, by a denominator that includes Class B economic interests Class A holders do not own. The deduction of distributions to Endeavor attempts to correct for this, but the correction removes the cash without adjusting the share count for the corresponding Class B claim that received it. The bear figure sits roughly 30% below the true PubCo figure for the same year, and that gap is the optical impairment the bear thesis points to.

The TRUE PubCo calculation. This isolates what Class A shareholders actually own (Exhibit 9). TKO Group Holdings owns 39.2% of TKO OpCo, so Class A shareholders' economic claim is 39.2% of OpCo's after-tax free cash flow, taxed at PubCo's effective rate rather than at the consolidated entity level. Constructing the numerator requires working back from reported FCF. Our estimated figure of \$1,586 million in FY2026E is already net of PubCo's \$158 million federal tax expense. Adding the tax back produces OpCo's pre-tax cash flow of \$1,744 million. Applying PubCo's 39.2% interest gives \$684 million, which is Class A's pro-rata claim on pre-tax cash flow. Subtracting PubCo's federal tax (the 12% effective rate applied to PubCo's 39.2%

allocated share of pre-tax income, or \$62 million) produces \$622 million of PubCo economic free cash flow. Dividing by 75 million Class A basic shares gives \$8.25 per share. This calculation matches numerator and denominator to the same economic interest, which the bear calculation does not.

The C-corp comparable. This answers what Class A shareholders would receive if TKO were structured as a traditional public C-corp with the same operating cash flows and the same tax rate (Exhibit 10). Pre-tax income is taxed at 12%, matched to PubCo's effective rate so the comparison isolates the structure rather than the rate. Non-cash and working-capital adjustments are added back to convert net income to free cash flow. The result is divided by fully-diluted shares, since in a C-corp all shareholders share economic interest equally without the Class A/B distinction. The C-corp comparable for FY2026E is \$8.23 per share. PubCo's actual claim of \$8.25 is effectively identical.

Exhibit 11 consolidates all three calculations. At a matched 12% effective tax rate, the Up-C delivers 100.2% of the C-corp comparable. This is the theoretical result: when both structures face the same effective rate, they deliver equivalent per-share economics to public shareholders. The Up-C is neither an advantage nor a disadvantage to Class A holders. The distributions to Endeavor that the bears flag are Endeavor's own economic share of OpCo's cash, which the LLC Agreement requires the company to deliver pro-rata so Endeavor can pay its individual tax bill. The dollars were never PubCo's to claim. Treating them as a deduction from Class A free cash flow is double-counting: it removes from Class A both the tax dollars that PubCo never had to pay and the cash dollars that Endeavor was always entitled to.

Exhibit 8 — title stays as-is ("The bear case \$5.77 per share in FY2026E is arithmetically correct. It benchmarks Class A economics against a counterfactual in which no cash leaves the entity to fund tax obligations"). Cut the table from FY24–FY28E down to a single FY26E column. The FY26E column shows: Revenue 5,815 / EBIT 1,551 / EBT 1,312 / Tax 158 / Effective rate 12.0% / OCF 1,886 / Capex (140) / Reported FCF 1,586 / Distributions to Endeavor (475) / Diluted shares 193 / then the bear block: Reported FCF 1,585.8 / plus Distributions (474.8) / equals 1,111.0 / Bear FCF per diluted share \$5.77.

Exhibit 9 — title stays as-is. Cut the table to FY26E only. Column shows: PubCo effective tax rate 12.0% / OpCo pre-tax FCF 1,743.8 / × PubCo 39.2% interest 683.6 / less PubCo federal tax (61.9) / equals 621.6 / TRUE PubCo FCF per Class A basic share \$8.25.

Exhibit 10 — the C-corp table. Cut to FY26E only. The recalibrated column should read: EBT × (1 – 12% tax rate) 1,153.8 / plus D&A and other non-cash 432.0 / equals C-corp FCF 1,585.8 / C-corp FCF per fully-diluted share \$8.23. This already matches the recalibrated screenshot in your Image 1.

Exhibit 11 — per-share comparison. Already correct in your screenshot: (1) Bear \$5.77, (2) TRUE PubCo \$8.25, (3) C-corp \$8.23, Up-C as % of C-corp 100.2%. Confirm it's FY26E only. Title — if it currently implies an advantage, change to: "EXHIBIT 11: At a matched tax rate, the Up-C delivers 100% of the C-corp comparable. The structures are equivalent."